

23STCV24732 23STCV24732

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-08-19

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C08%2F19%2F2026

Source SHA-256: 56f2102d65c0b7bebec3944b97c57399de8430070a3f8fb01dd2592b1d24102f

Case Number: 23STCV24732 Hearing Date: August 19, 2026 Dept: 11

Ramirez

vs J.J. Gourmet Food Corp., et al.

MOTION

FOR PRELIMINARY APPROVAL OF CLASS ACTION SETTLEMENT

Date

of Hearing: August 19, 2026 c/f February 2, 2026 c/f January 14, 2026

Department:

11 (Spring Street)

Case

No.: 23STCV24732

TENTATIVE:

Grant.

PRELIMINARY

APPROVAL OF CLASS ACTION SETTLEMENT

As a “fiduciary” of the absent class

members, the trial court’s duty is to have before it sufficient information to

determine if the settlement is fair, adequate, and reasonable. (7-Eleven

Owners for Fair Franchising v. The Southland Corp. (2000) 85 Cal.App.4th 1135,

1151 [citing Dunk v. Ford Motor Co. (1996)

48 Cal.App.4th 1794, 1801, 1802 (“Dunk”).)

California Rules of Court, rule

3.769 governs settlements of class actions.

Any party to a settlement agreement may submit a written notice for preliminary approval of the settlement.

The settlement agreement and proposed notice to class members must be filed with the motion, and the proposed order must be lodged with the motion.

(Cal. Rules of Court, rule 3.769(c).)

In determining whether to approve a

class settlement, the court's responsibility is to "prevent fraud, collusion or unfairness to the class" through settlement and dismissal of the class action because the rights of the class members, and even named plaintiffs, "may not have been given due regard by the negotiating parties." (Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America (2006) 141 Cal.App.4th 46, 60.)

FAIRNESS

OF THE SETTLEMENT AGREEMENT

In an effort to aid the Court in the

determination of the fairness of the settlement, *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 244-245 ("Wershba"), discusses factors the

Court should consider when testing the reasonableness of the settlement.

A presumption of fairness exists

where: (1) the settlement is reached through arm's length bargaining; (2) investigation and discovery are sufficient to allow counsel and the Court to act intelligently; (3) counsel is experienced in similar litigation; and (4)

the percentage of objectors is small. (*Wershba*, supra at p. 245 [citing *Dunk*, supra at p. 1802].) The test is not the maximum amount plaintiff

might have obtained at trial on the complaint but, rather, whether the settlement is reasonable under all of the circumstances. (*Wershba*, supra at p. 250.)

In making this determination, the

Court considers all relevant factors including "the strength of [the] plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a

governmental participant, and the reaction of the class members to the proposed settlement.” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 128 (“Kullar”) [citing Dunk, supra at p. 1801].)

“The fact that a proposed settlement may only amount to a fraction of the potential recovery does not, in and of itself, mean that the proposed settlement is grossly inadequate and should be disapproved.” (City of Detroit v. Grinnell Corporation (2d Cir. 1974) 495 F.2d 448, 455; see also Linney v. Cellular Alaska Partnership (9th Cir. 1998) 151 F.3d 1234, 1242 [“[I]t is the very uncertainty of outcome in litigation and avoidance of wasteful and expensive litigation that induce consensual settlements. The proposed settlement is not to be judged against a hypothetical or speculative measure of what might have been achieved by the negotiators.”].)

TERMS OF SETTLEMENT AGREEMENT

“Class”

means all non-exempt employees who worked for Defendants in California during the Class Period. (Settlement, ¶1.5.)

“Class Period”

means the period from October 10, 2019 through August 17, 2025. (¶1.12)

“Aggrieved Employee” means all non-exempt employees who worked for Defendants in California during the PAGA Period. (¶1.4)

“PAGA Period”

means the period from October 9, 2022 through August 17, 2025. (¶1.31)

Based

on a review of its records around the date of the mediation, Defendants estimate there are approximately 727 Class Members who collectively worked a total of approximately 77,625 Workweeks, and approximately 548 Aggrieved Employees who worked a total of approximately 17,912 PAGA Pay Periods. (¶4.1)

The Parties stipulate to class certification for settlement purposes only. (¶11.1)

The Gross Settlement Amount ("GSA") is \$1,550,000, non-reversionary.

(¶3.1)

· Based on its records, Defendants estimated that, as of the date of the mediation, there were an approximately 77,625 workweeks worked by Class Members during the Class Period. If the number of total workweeks worked by Class Members as reported to the Settlement Administrator following preliminary approval is more than 10% greater than this figure (i.e., if there are an additional 7,763 or more total workweeks worked during the Class Period), then Defendants shall increase the Gross Settlement Amount by \$19.97 per additional workweek in excess of 85,388 workweeks (the 10% escalation limit). (¶8)

The Net Settlement Amount ("NSA") of \$913,833.33 is the GSA minus:

Up to \$516,666.67 (33.3%) for attorneys' fees (¶3.2.2);

Up to \$25,000 for attorneys' costs (Ibid.);

Up to \$11,950 for costs of settlement administration (¶3.2.3);

Up to \$7,500 for a Class

Representative Service Payment (¶3.2.1); and

Payment of \$75,000 (75% of \$100,000 PAGA penalty) to the LWDA (¶3.2.5).

Defendants shall separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (¶3.1)

Funding of the Settlement: Defendants shall fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendants' share of payroll taxes by transmitting the funds to the Administrator in four equal installments as follows: (1) the first installment payment of \$387,500.00 shall be paid within 30 days of Class Counsel sending a copy of the Order Granting Final Approval and Judgment to Defense Counsel, provided that the Administrator has already sent wiring instructions to Defense Counsel; (2) the second installment payment of \$387,500.00 shall be paid within 90 days of the first installment payment; (3) the third installment payment of \$387,500.00 shall be paid within 90 days of the second installment payment; and (4) the fourth and final installment payment of \$387,500.00 shall be paid within 60 days of the third installment payment. (¶4.3)

· Defendant has provided a declaration in support of the need for a payment plan. (Declaration of Cindy Yeh, passim.)

Payments from the Gross Settlement Amount: Within 10 calendar days after Defendants fully fund the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. (¶4.3)

No Claim Requirement: The Administrator will disburse the entire Gross Settlement Amount without asking or requiring Participating Class Members or Aggrieved Employees to submit any claim as a condition of payment. (¶3.1)

Calculation of Individual Settlement Payments: An Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (¶3.2.4) Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will allocate amounts equal to their Individual Class Payments to the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (¶3.2.4.2)

· Tax Allocation: 1/3 as wages; 2/3 as interest and penalties. (¶3.2.4.1)

PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties \$25,000 by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. (¶3.2.5.1) If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (¶3.2.5.2)

· Tax Allocation: 100% penalties. (Ibid.)

“Response

Deadline” means 45 days after the Administrator mails the Class Notice

to

Class Members, and shall be the last date on which Class Members may: (a) fax, email,

or

mail Requests for Exclusion from the Settlement, or (b) fax, email, or mail his or her

Objection

to the Settlement. Class Members to whom the Class Notice is resent after having

been

returned undeliverable to the Administrator shall have an additional 15 calendar days

beyond

the Response Deadline. (¶1.40) The same deadlines apply to workweek/payment challenges. (¶7.6)

Uncashed Checks: The

Administrator will cancel all checks not cashed by the void date (not less than 180 days after the date of mailing). (¶4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California State Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no “unpaid residue” subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). Any Class Member who does not cash their Individual Class Payment check and/or Individual PAGA Payment check by the void date is still bound by the Released Class Claims and Released PAGA Claims.). (¶4.4.3)

The Parties agree to use CPT Group, Inc. as the Settlement Administrator. (¶1.2)

The proposed Settlement Agreement was submitted to the LWDA on December

22, 2025. (Declaration of David Alami (“Alami Decl.”), Exhibit 3.)

Counsel

submitted the Addendum to Class Action and PAGA Settlement Agreement (“Addendum”) and revised Class Notice to the LWDA on July 28, 2026. (Supplemental Declaration of David Alami (“Alami Supp. Decl.”), Exhibit 2.)

All

class members who do not opt out will release certain claims, discussed in detail below.

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a Presumption of Fairness Exist?

1.

Was the Settlement reached through arm's-length bargaining? Yes. On April 17, 2025, Plaintiff and Defendants attended mediation with mediator Monique Ngo-Bonicci, Esq., and were able to come to an agreement. (Alami Decl., ¶12.)

2.

Were investigation and discovery sufficient to allow counsel and the Court to act intelligently? Yes. Counsel represents that prior to mediation: 1) Defendants produced data and documents, including the total number of Class Members and Aggrieved Employees (including former employees), documents pertaining to Plaintiff, including rates of pay, hire dates, and termination dates through mediation, policies, procedures, a sampling of Class Members' time and payroll records, and other information; 2) Defendants provided their wage and hour policies and procedures to Plaintiff for review; and 3) Plaintiff's Counsel retained an expert and formulated a damage analysis based on the records provided by Defendants. (Ibid.)

3. Is counsel experienced in similar litigation? Yes. Class Counsel is

experienced in complex litigation, including wage and hour class action cases. (Id. at ¶¶3-9.)

4.

What percentage of class has objected? This cannot be determined until the fairness hearing. (See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2011) ¶ 14:139.18 [“Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.”].)

B.

Is the settlement fair, adequate and reasonable?

1.

Strength of Plaintiffs' case. “The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement.” (Kullar at 130.)

Class

Counsel have provided the following exposure analysis:

Claim

Exposure

Off-the-clock Claim

\$137,861.13

Meal Period Claim

\$810,543.51

Rest Period
Claim

\$877,467.62

Sick Pay Claim

\$43,602.55

Vacation Pay Claim

\$43,411.20

Expense Reimbursement Claim

\$479,080.00

Labor Code § 1198.5 Penalties

\$5,452.50

Labor Code § 203 Penalties

\$1,302,336.00

Labor Code § 226 Penalties

\$1,763,650.00

Labor Code § 432.3

\$7,270.00

PAGA Penalties

\$1,791,700.00

TOTAL

\$7,262,374.51

(Alami
Decl., ¶124.)

2.

Risk, expense, complexity and likely duration of further litigation. Further litigation carries the possibility of non-certification and unfavorable rulings on the merits of the above legal issues.

3. Risk of maintaining class

action status through trial. It

would have been Plaintiffs' burden to maintain the class action status through trial.

4.

Amount offered in settlement.

Based on the calculations above, the Settlement amount of \$1,550,000 therefore represents approximately 21% of the forecasted recovery in this matter, which is within the "ballpark of reasonableness."

5.

Extent of discovery completed and the stage of the proceedings. As stated above, it appears that Plaintiffs have completed sufficient discovery in order to make an informed decision.

6.

Experience and views of counsel. As indicated above, Class Counsel is experienced in class actions, including wage and hour class action cases. Class Counsel is of the opinion that the settlement is fair, reasonable, and adequate and is in the best interest of the Class in light of all known facts and circumstances.

7. Presence of a governmental participant.

This factor is not applicable.

8.

Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object or opt-out.

This factor becomes relevant during the fairness hearing.

SCOPE

OF RELEASE

Upon the Effective Date and when Defendants fully fund the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiff, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶15)

All Participating Class Members will release and discharge the

Released Parties from all claims, demands, rights, liabilities and causes of action that were pled in the Operative Complaint in the Action, or which could have been alleged based on the factual allegations therein or ascertained during the Action, that arose during the Class Period. The time period covered by this release will mirror the Class Period and will become effective upon the Effective Date and full payment of the Gross Settlement Amount and payroll taxes by Defendants. (§5.2)

All Aggrieved Employees will release and discharge the Released Parties from all PAGA claims that are based on the Labor Code violations pled in the Operative Complaint in the Action or Plaintiff's PAGA Notice, or which could have been pled in the Operative Complaint in the Action based on the factual allegations therein or ascertained during the Action, that arose during the PAGA Period. Aggrieved Employees will not be provided with the opportunity to opt out of the Released PAGA Claims. (§5.3)

Plaintiff is also providing a general release and CC§1542 waiver as to Defendants. (§5.1)

The release of claims by class members is acceptable as it is limited to claims that were or could have been alleged based on the facts alleged, and which arose during the relevant period.

CONDITIONAL CLASS CERTIFICATION

A. Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified. (*Amchem Products, Inc. v. Winsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn. 19.) Because a settlement eliminates the need for a trial, when considering whether to certify a settlement class, the court is not faced with the case management issues present in certification of a litigation class. (*Global Minerals & Metals Corp. v. Superior Court* (2003) 113 Cal.App.4th 836, 859.) Finally, the

Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba, supra at p. 240.)

B.

Analysis

1.

Numerosity. This action involves a class of approximately 727 members. (Alami Decl., ¶16.)

2.

Ascertainability. This class definition “is precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) Class Members are identifiable from Defendant’s records. (Alami Decl., ¶16.)

3. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

Here,

Counsel contends that Plaintiff’s allegations present common legal and factual questions of, inter alia, whether Defendants applied the same wage compensation, meal period, rest break, and reimbursement policies and practices to all Class Members; whether those policies or their implementation resulted in Labor Code violations; whether Defendants’ conduct was intentional; and whether Class Members are entitled to penalties. (Alami Decl., ¶20.)

Further,

counsel contends typicality is met because Plaintiff alleges that she and other Class Members were employed by the same companies and injured by the companies’ common policies and practices related to compensation, meal and rest breaks, reimbursements, and derivative violations. (Id. at ¶21.)

Finally,

counsel contends that Plaintiff is an adequate representatives because her interests are coextensive with the interests of the Class. (Id. at ¶22; Declaration

of Plaintiff Ramirez, passim.)

4.

Adequacy of class counsel. As indicated above, Class Counsel is experienced in class actions.

5.

Superiority. Given the size of the potential individual recovery, it would be impracticable to bring each Class Member's claim as an individual claim.

Because the elements of class certification have been met, the class may be conditionally certified at this time.

NOTICE TO CLASS

A.

Standard

California Rules of Court, rule 3.769(e) provides: "If the court grants preliminary approval, its order must include the time, date, and place of the final approval hearing; the notice to be given to the class; and any other matters deemed necessary for the proper conduct of a settlement hearing." Additionally, rule 3.769(f) states: "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement."

B.

Form of Notice

The proposed notice is attached as Exhibit A to the Addendum (attached as Exhibit 1 to the Supplemental Declaration of David Alami). The information provided in the proposed notices includes a summary of the litigation, the nature and terms of the settlement, the

procedures for participating in, opting out of, or objecting to the settlement, and the time, date, and location of the final approval hearing. The Court finds the notice acceptable.

C.

Method of Notice

Notice

will be by Direct Mail. Not later than 10 business days after Class Counsel sends Defense Counsel the Order Granting Preliminary Approval of the Settlement, Defendants will deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2)

Using best efforts to perform as soon as possible, and in no event later than 10 calendar days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class United States Postal Service ("USPS") mail, the Class Notice. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database.

(¶7.4.2)

Not

later than three (3) business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3)

If

the Administrator, Defense Counsel, or Class Counsel is contacted by or otherwise discovers any persons who believe they should have been included in the Class Data and should have received Class Notice, the Parties will expeditiously meet and confer in person or by telephone, and in good faith in an effort to agree on whether to include them as Class Members. If the Parties agree, such persons will be Class Members entitled to the same rights as other Class Members, and the Administrator will send, via email or overnight delivery, a Class Notice requiring them to exercise options under this

Agreement not later than 15 days after receipt of the Class Notice, or the deadline dates in the Class Notice, whichever is later. (§7.4.5)

Notice of Final Judgment will be posted on the administrator's website. (§7.8.1)

D.

Cost of Notice

The settlement administration costs are estimated at \$11,950. This amount appears reasonable. However, prior to the time of the final fairness hearing, the Claims Administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

ATTORNEY

FEES AND COSTS

California Rules of Court, rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the Court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court has an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether class counsel is

entitled to \$516,666.67

(1/3) in attorneys' fees will be addressed at the fairness hearing

when class counsel brings a noticed motion for attorney fees. Counsel should also be prepared to justify any costs sought (capped at \$25,000)

by detailing how such costs were incurred.

PROPOSED

SCHEDULE OF SETTLEMENT PROCEEDINGS

The

following schedule is proposed by the Court:

Preliminary Approval Hearing – August

19, 2026

Deadline

for Serving Notices to Class Members – _____ (within 10 business days + 10 calendar days of preliminary approval date)

Deadline

for Objecting or Opting Out – _____ (45 calendar days from the date the Notice Packets are mailed to class members)

Deadline for Class Counsel to File

Motion for Final Approval of Settlement and Motion for Attorney Fees (and respond to any objections) – _____, 2026

(16

court days prior to hearing)

Final Fairness Hearing and Final

Approval – _____, 2026